CASCADIA ANALYTICS

INVESTMENT SCORECARD

CSX

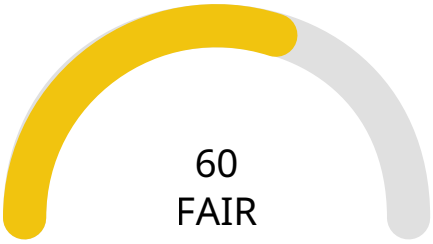
CSX Corporation (NASDAQ)

As-of: 17-Oct-2026 | Latest Filing: Q2 2026 (8-K) | Currency: USD

$48.68 [Mkt 16-Oct-26]

Market Cap: $90.2B [Mkt 16-Oct-26]

Attractiveness Score



Confidence: **Medium** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 78

Eastern Class I duopoly with one of two networks east of the Mississippi. 38.3% operating margin and 61.7% OR improving. Heavy moat, but revenue fell three straight years and leverage is high (D/E 1.43x).

2. Recent Trend — 72

Record Q2: revenue +10%, EPS +23%, OR -2.4pts, FCF swung to +$687M. Volume rebound broad-based. But annual revenue declined 2022-2025 and net margins compressed 27.7% to 20.5%.

3. Forward Growth — 58

Management guides mid-to-high single digit revenue growth with margin +350bps. Intermodal conversions have legs. Railroads are structurally low-growth, low-double-digit at best, and the DCF embeds the same.

4. Valuation — 38

DCF base $30.75 sits 37% below the $48.68 spot. Reverse DCF implies 22.4% revenue CAGR, above our $36.94 bull case. Market prices perfection on a 4-5% grower.

5. Catalysts & Risk — 58

Q3 earnings on Oct 21 are a two-sided test against a high bar. COO retired Oct 12, adding execution transition risk. Strong momentum offset by macro sensitivity and full valuation.

Investment Thesis

- **Eastern Rail Duopoly:** One of two Class I railroads east of the Mississippi. Operating margin 38.3%, OR down to 61.7% and improving, ROE ~25%. The moat is structural [PR 22-Jul-26].
- **Record Q2, Raised Guide:** $3.94B revenue (+10.1%), EPS $0.54 beat $0.52. FY2026 guide raised: revenue mid-to-high single digits, margin +350bps, FCF +80%. Truck-to-rail conversions are real [PR 22-Jul-26].
- **Market Prices Perfection:** At $48.68 [Mkt 16-Oct-26], the reverse DCF implies 22.4% revenue CAGR, above our $36.94 bull case. Great business, full price.

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Revenue (Q2 2026)	$3.94B [PR 22-Jul-26]	+10.1% [PR 22-Jul-26]	Up
EPS (Q2 2026)	$0.54 [PR 22-Jul-26]	+23% [PR 22-Jul-26]	Up
Operating Ratio (Q2 2026)	61.7% [PR 22-Jul-26]	-2.4 pts [PR 22-Jul-26]	Improving
Volume (Q2 2026)	1.68M units [PR 22-Jul-26]	+6.0% [PR 22-Jul-26]	Up
Free Cash Flow (Q2 2026)	$687M [FW 22-Jul-26]	vs -$115M [FW 22-Jul-26]	Up
FY2025 Revenue	$14.1B [Inc 17-Oct-26]	-3.1% [Inc 17-Oct-26]	Down
Quarterly Dividend	$0.14 [MarketBeat]	n/a	Flat

Historical Financial Trend

Metric	2022	2023	2024	2025	TTM
Revenue	$14.9B [Inc 17-Oct-26]	$14.7B [Inc 17-Oct-26]	$14.5B [Inc 17-Oct-26]	$14.1B [Inc 17-Oct-26]	$14.5B [Inc+calc]
Net Margin	27.7% [Inc 17-Oct-26]	25.0% [Inc 17-Oct-26]	23.9% [Inc 17-Oct-26]	20.5% [Inc 17-Oct-26]	22.2% [Inc+calc]
FCF Margin	23.0% [Inc 17-Oct-26]	22.2% [Inc 17-Oct-26]	18.7% [Inc 17-Oct-26]	12.1% [Inc 17-Oct-26]	n/a [n/a]

Valuation

Absolute (3/10)

DCF Base $30.75 [DCF 16-Oct-26]
Forward P/E 21.3x [Mkt 17-Oct-26]
PEG 1.75 [Mkt 17-Oct-26]

Base target is 37% below spot. Reverse DCF implies 22.4% revenue CAGR, above our bull case. Expensive in absolute terms.

Versus Peers (5/8)

Class I peers ~15-18x EV/EBITDA [Mkt]
CSX 17.2x TTM / 15.6x NTM [Mkt 17-Oct-26]

CSX trades in line to rich vs NSC/UNP with no discount for slower volume growth. No relative value.

Versus History (5/7)

52-wk range $33.63-$53.60 [Mkt 16-Oct-26]
At $48.68 near the top of range

Multiples sit near cycle highs after the 2025 recovery rally; less room for multiple expansion from here.

Catalyst Timeline

Oct 21, 2026 [Cons]
Q3 2026 Earnings (Two-Sided): consensus EPS $0.53 and revenue $3.95B; tests whether the Q2 beat and raised guide held into H2.

2027 [Call Q2'26]
Highway-to-Rail Conversions (Positive): tight truck supply and pricing power keep intermodal/ merchandise volume growing mid-single digits.

Top Risk Factors (Item 1A)

1. Overvaluation vs Model: Base case $30.75 is 37% below spot; even the $36.94 bull case trails the stock. The market's implied 22.4% revenue CAGR prices in flawless execution we do not see. [DCF 16-Oct-26]

2. Coal Exposure: Coal remains a double-digit share of revenue and is structurally declining; intermodal and merchandise must keep offsetting it. [Zacks 16-Oct-26]

> **Ongoing** [PR 22-Jul-26]
> Operating Ratio Path to Sub-60% (Two-Sided): OR improved to 61.7% in Q2; further productivity gains are the margin lever.

What Would Change Our Score

A Q3 2026 miss or operating-ratio deterioration would cut Trend and Forward Growth further. Conversely, sustained mid-single-digit volume growth with OR moving toward sub-60% could make the market's implied growth credible and lift the Valuation score.

3. Labor Costs and Service Execution: High labor costs and rail network disruptions were flagged as Q3 headwinds. Union labor is the largest controllable cost and bargaining power sits with labor. [Zacks 14-Oct-26]

4. Leverage and Capex Intensity: $18.9B of debt on a 1.43x debt-to-equity ratio with a 0.81 current ratio. Capex runs ~$2.4B a year; FCF can swing hard in a downturn. [Inc 17-Oct-26]

Forward Growth Drivers

- Highway-to-rail freight conversions as trucking capacity stays tight [Call Q2'26]
- Intermodal volume +9% YoY leading broad-based carload growth [PR 22-Jul-26]
- Raised FY2026 guide: revenue mid-to-high single digits, operating margin +350bps, FCF +80% [PR 22-Jul-26]
- $0.14 quarterly dividend plus buybacks as cash generation recovers [MarketBeat]

Missing / Modified Data Log

- FY2021 annual row in income_charts.json is a mislabeled single quarter ($3.4B revenue vs $12.5B+ actual); excluded from all trends.
- TTM FCF margin unavailable: quarterly cash flow series not collected; used reported Q2 FCF only.
- Peer multiples for NSC/UNP not in local data; peer section is qualitative vs Class I rails.
- 5-year operating-ratio history not collected locally; used Q2 2025 vs Q2 2026 reported figures.

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